



ECO4129Z - Accounting for Portfolio Managers

Test 1

INSTRUCTIONS TO CANDIDATES

- Do not open this paper until instructed to do so.
- No student is to leave the test venue during the last 20 minutes of the exam.
- A blue or black pen must be used throughout your answer. Work done in pencil or using Tippex will not be marked.
- The invigilators will answer no content-related questions during the examination. Make whatever assumptions you deem appropriate and clearly state these in your answer. Any reasonable assumption will be considered.

The duration of this test paper (as indicated in the table below) includes appropriate reading time.

Question	Marks	Time
1	40	60 minutes

This paper consists of 4 pages, including this cover page.

PART A

	A	=	E	+	L
1.	+80k (Equipment) ✓		0		+80k (Trade payable) ✓
2.	+25k (Inventory) ✓		0		+25k (Trade payable) ✓
3.	-2 600 (Bank) ✓		-2 600 (Municipal expenses) ✓		0
4.	+4k (Trade receivables) ✓		+4k income ✓		0

PART B

1. $\begin{array}{ccc} \text{1 Apr 23} & \text{8 mo} = \frac{2}{3} \text{ yr} & \text{31 Dec 2023} \\ | & \text{-----} & | \end{array}$

$$\text{Dep} = \frac{350k - 50k}{5}$$

$$= 60k \text{ for 1 yr}$$

$$31 \text{ Dec } 2023 \text{ Dep} = 60 \times \frac{\frac{9}{12}}{3} = R40\,000$$

$$\begin{aligned} 2. \text{ CA} &= 350k - 45k \\ &= R310\,000 \end{aligned}$$

Part A

(8 Marks: 12 minutes)

For the following transactions, you must show the effect on the accounting equation ($A = E + L$). You must show whether the element increases or decreases and what account is affected.

Your answer must be presented as follows:

For example, a company pays salaries of R60 000.

Assets	=	Equity	+	Liabilities
- 60 000 (Bank)		- 60 000 (Salaries expense)		nil

Transactions:

1. A company purchases a machine on credit for R 80 000.
2. A company purchases inventory for R 25 000 on credit.
3. A company pays their Municipal bill of R 2 600 in cash.
4. A company provides a service to a client valued at R 4 000; however, the client has not yet paid.

Part B

(4 Marks: 6 minutes)

A business purchased a new vehicle on 1 April 2023 for R 350 000. Its estimated useful life is 5, while the residual value was estimated to be R50 000 on the date of purchase. This entity applies the straight-line method.

1. Calculate the depreciation for this vehicle for the year ended 31 December 2023.
2. What is the carrying amount of this asset as at 31 December 2023?

Part C

(6 Marks: 9 minutes)

1. If a business owned a piece of land to earn rental income or for capital appreciation, it will be classified as investment property ✓ on the Statement of Financial Position
2. Inventory is usually measured at the lower of cost ✓ and net realizable value (FV-dispose)
3. Biological assets are measured at fair value less costs to sell.
4. Receivables are measured at the proportion × PV of the expected cash inflows.
5. Most liabilities are measured at fair value × amortized cost
loan + i + PMT

Part D

(4 Marks: 6 minutes)

A client has ordered a wedding cake from a local bakery for their wedding next year. The client was required to pay the total purchase price on the day of placing the order. The bookkeeper increased the bank account for the payment received but was unsure how to account for the other side of the transaction. Explain how the business would account for the transaction with reference to the Conceptual Framework.

PART D

Dr Bank (A)

Cr outstanding service (L) * income received in advance

The business would record a liability as they have a present obligation to transfer an economic resource (delivering the cake) due to the client paying for it, which is the past event

relevant

faithful representation

- rel • there is no existence uncertainty as we have received the money
- rel • there is no low prob. of outflow of resources (ingredients to make cake)
- fr • can be measured with certainty (the amt we received)

PART E

1. Reports transactions when they occur
2. This is the understanding that the business will still be operating within 12 mds (foreseeable future)
3. Provisions made on fin. statements, accounting for potential non-payment of debts by debtors. This is an estimation
4. e.g. reval. surplus
5. Right, not obligation to purch. shares
6. An item/asset that has the potential to produce economic benefits
- 7.
8. Shares company has purchased back & haven't sold them
9. • possible obligatio
• low prob.
• measure

Part E

(9 Marks: 13.5 minutes)

Explain what is meant by the following terms:

- | | |
|---------------------------------|-----------------------------|
| 1. Accrual Basis | 6. Financial Instrument |
| 2. Going Concern | 7. "unwinding the discount" |
| 3. Allowance for doubtful debts | 8. Treasury shares |
| 4. Non-distributable reserves | 9. Contingent liability |
| 5. Share options | |

Part F

(9 Marks: 13.5 minutes)

For each of the questions below, choose the correct answer. Every correct answer will be awarded one mark. (Incorrect answers will be subject to a 0.25 mark penalty.)

1. The main difference between financial accounting and management accounting is:
☒ a. Management accounting informs management's decisions, while financial accounting informs the decisions of existing and potential investors, lenders and other creditors.
b. Management accounting involves only the recording function, whereas financial accounting involves only the reporting function.
c. Management is only concerned with reports from management accounting, not those from financial accounting.
d. Management accounting is performed by management, whereas accountants perform financial accounting.
2. One of the features of IFRS for SMEs is:
☒ a. It requires less disclosure to be presented than full IFRS.
b. It is longer than the full IFRS.
c. The language within IFRS for SMEs is more technical than the full IFRS.
d. It allows more accounting choices than full IFRS.
3. Which of the following statements is true of provisions?
a. A provision is not a liability.
b. A provision is the same as a contingent liability.
☒ c. A provision is a liability of uncertain timing or amount.
d. Provisions are liabilities that fail the recognition criteria.
4. Retained earnings reported in the equity section of the statement of financial position represent:
a. The total amount of dividends paid to shareholders.
☒ b. The accumulated net income that has not been distributed to shareholders.
c. The total capital contributions by owners.
d. The business's total liabilities.

5. What process is required when businesses change their accounting policies?
- a. ~~Prospective~~ restatement
 - ☒ b. Retrospective restatement
 - c. Immediate adjustment
 - d. No adjustment is required
6. How does the statement of cash flows differ from the statement of comprehensive income?
- a. ~~It~~ reports the business's total assets
 - ☒ b. It reports exclusively cash flows for the reporting period, categorized according to financing, investing, and operating activities
 - c. It reports the business's financial performance during the reporting period
 - d. It reports the business's equity
7. Which of the following is not a characteristic of IFRS?
- a. IFRS is based on concepts and principles which should result in similar outcomes for similar transactions. *can be some grey area*
 - ☒ b. IFRS contains definitive rules that apply to every transaction you could encounter.
 - ☒ c. IFRS is set by a geographically diverse group of board members with different experiences and perspectives.
 - d. IFRS is believed to have improved the quality and comparability of financial information.
8. The benefits of debt or 'leverage' include:
- a. The more debt you have, the higher your profit since interest is often deductible for tax; therefore, less tax is payable.
 - b. Debt is less risky than equity.
 - ☒ c. Leverage can boost a company's profits if it generates a return on its assets that exceeds the interest rate.
 - d. When interest rates are low, the more debt you take out, the higher your profits will be.
9. Dividends paid by a business are reported in the:
- a. Statement of Financial Position
 - b. Statement of Comprehensive Income
 - both* ☒ c. Statement of Cash Flows
 - ☒ d. Statement of Changes in Equity